and, above all, the durability of that advantage. The products or services that have wide, sustainable moats around them are the ones that deliver rewards to investors.”[13]

Buffet reminds investors why they shouldn't cling to macroeconomic growth stories. So, on which area should investors focus? As Ritter says quite succinctly: “current earnings yields.” Translated for non-finance geeks, this simply means price. And as any intelligent investor will tell you, the price you pay has everything to do with the returns one will receive. If investors pay a high price for a given asset, they can expect low returns; if the same investors pay a low price for a given asset, they can expect high returns. The real story here is that high equity returns are earned by investors who focus on paying low prices for firms with strong abilities to invest in positive net present value projects. It may be that the best prices can be had in times of low economic growth, whereas we tend to overpay in a growing economy. The idea that strong economic growth translates into strong stock returns is a superstition, and is not backed by evidence.

Myth #3 The Payout Superstition

Every quarter, boards across America wrestle with the complex question of dividend policy. Perhaps the company has excess cash that should be paid out as a dividend? Or perhaps cash should be directed to high net-present-value projects? It's a nuanced and sophisticated debate, which makes it the perfect breeding ground for generating investor superstitions.

Quant heavyweights Cliff Asness (AQR) and Rob Arnott (Research Affiliates) have noted that market observers often predict that low-dividend payout ratios imply higher earnings growth in the future.[14] Conversely, when dividend payout ratios are high, commentators suggest that earnings growth will slow in subsequent years. We call this story the *payout superstition*.

Again, the logic seems to make sense: If companies retain earnings (i.e., low dividend payout) and plow them back into promising projects, earnings growth should be higher in the future; conversely, if companies don't see any growth opportunities, they will push cash back to shareholders (i.e., high dividend payout) and future earnings shouldn't experience robust growth.